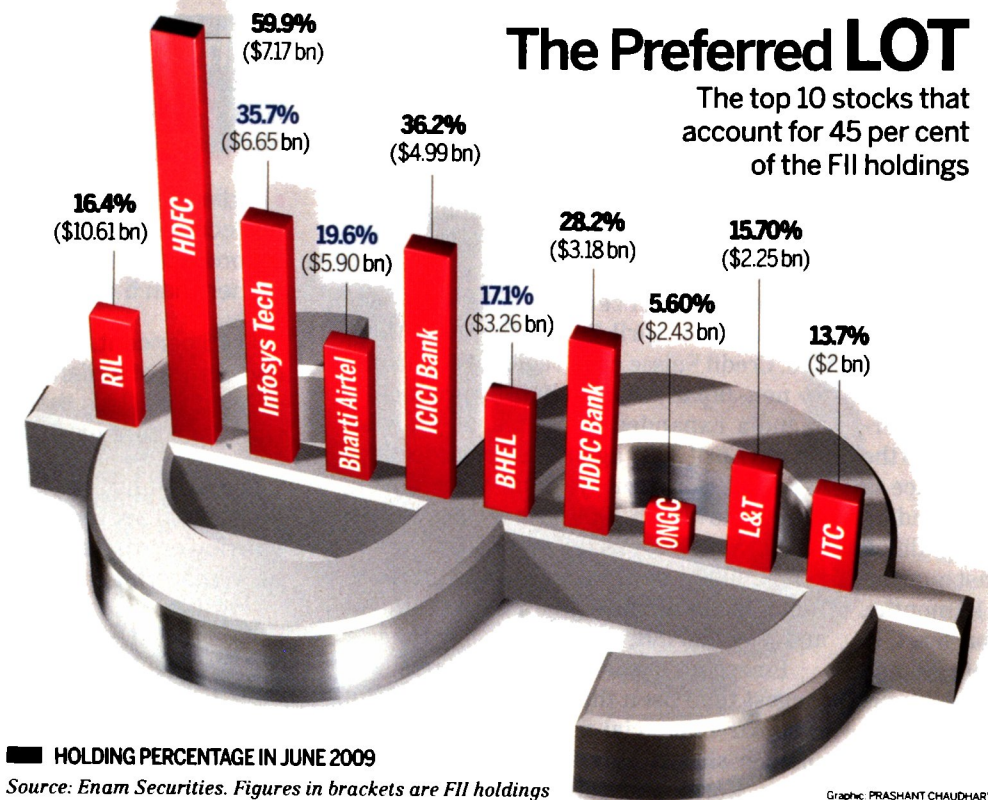


The Preferred LOT

The top 10 stocks that account for 45 per cent of the FII holdings



HOT Companies*

DLF	\$961 mn
Unitech	\$392 mn
L&T	546 mn
RIL	\$296 mn
IDFC	\$287 mn

HOT Sectors*

Realty	\$1.6 bn
BFSI	\$1.5 bn
Engineering	\$875 mn
Oil	\$580 mn
Metals	\$556 mn

* FII preferences and money invested in 1st quarter of 2009-10

is what FIIs have invested in emerging markets year to date as against equities worth \$49 billion they sold in 2008.

been relatively unscathed by the financial crisis. Evidently, they have done things differently and so their balance sheets are less stressed. Consequently, we can expect decent foreign capital flows over the next few years."

On the back of such a positive forecast, FIIs are busy churning their portfolios and buying into equities that will deliver good returns over the next few years. In the first quarter of this fiscal, FIIs have raised their stake in 75 companies by 110 basis points after seven successive quarters of declines. FII ownership for the broad market has risen to 16 per cent in this period. However, this is still low compared to 2007, when FIIs owned 19 per cent of the Indian market. And based on Morgan Stanley's estimates, FIIs have been net buyers of stocks outside their sample of 75 stocks at levels comparable to the frenzy of 2007.

The last three months have seen dramatic churn in FII portfolios, both from the point of view of stocks and sectors. Despite this, the top 20 stocks still account for 70.4 per cent of the average FII portfolio. The three sectors with the biggest overweight positions continue to be financial services, telecom and consumer discretionary, whereas the biggest underweight sectors are energy, utilities and materials. According to Morgan Stanley research

among the top 20 holdings, Reliance Industries, Hindustan Unilever, and Infosys are the stocks with the biggest underweight positions. Conversely, Bharti, SBI, and HDFC are the sectors where FIIs are bullish. Three stocks that have seen FII ownership fall drastically in the past quarter are Infosys, ICICI Bank and Sterlite. On the other hand, HDFC Bank, HDFC and SBI have seen the biggest rise in ownership among the top 20 holdings of FIIs. Clearly, all that looked exciting in the last couple of years has lost its sheen, at least for the FIIs. While realty, oil, metals, BFSI (Banking, Financial Services and Insurance) and engineering are what FIIs are focusing on, mutual funds are buying into power and telecom.

With liquidity returning to Indian markets, are valuations becoming stretched? Not really, believe experts. While the strong rally since April has resulted in valuations moving up, they do not seem to be ahead of fundamentals, says Sivasubramanian K.N., senior portfolio manager (equity), Franklin Templeton. Given the low interest rate scenario and sluggish growth in most developed countries, global institutional investors are likely to be keen to have increased exposure to Indian markets along with other emerging economies with good growth potential. ■